Securities Act of 1933 has been the abandonment of this indefensible method of stating interest coverage in new bond offerings. This change has been due, apparently, not to any specific prohibition by the statute or the S.E.C. regulations but rather to the desire to avoid risking penalties for deceit.

Some Canadian bond offering circulars still use the prior-deductions method. *Example:* Famous Players Canadian Corporation, Ltd., First and Collateral Trust Bonds, Series A, offered about June 1936.

The Cumulative-Deductions Method. The second procedure may be called the Cumulative-Deductions Method. Under this method, interest on a junior bond is always considered in conjunction with prior and equivalent charges. In the example given, the interest on the debenture 6s would be computed as earned 1¾ times, found by dividing the combined charges of *both* issues, namely $800,000, into the available earnings of $1,400,000. The first-mortgage interest, however, would be said to be earned 2.8 times, since bond interest *junior* to the issue analyzed is left out of consideration in this method. The majority of investors would regard this point of view as entirely sound, and the procedure has been specifically prescribed by a number of states in their enactments governing the eligibility of bonds for savings-bank investment.[8]

The Total-Deductions or "Over-All" Method. In a previous chapter, however, we have emphasized the primary importance of a company's ability to meet all its fixed obligations, because insolvency resulting from default on a junior lien invariably reacts to the disadvantage of the prior-mortgage bondholders. An investor can be sure of his position only if the total-interest charges are well covered. Consequently, the conservative and therefore advisable way of calculating interest coverage should always be by the "totaldeductions method"; *i.e.*, the controlling figure should be the number of times that *all* fixed charges are covered. This would mean that the *same earnings ratio would be used in analyzing all*

[8] See, for example, Maine, Sec. 27, Chap. 57 of Revised Statutes, as amended by Chap. 222 of Public Laws 1931, subsections VI, VII and VIII, dealing with obligations of steam railroads, public utilities and telephone companies. Similar provisions are to be found in the Vermont statute relative to public-utility bonds. New Hampshire permits the cumulativedeductions method for railroad and public-service company bonds; but, rather strangely, it requires the total-deductions method in the case of the bonds of telephone and telegraph companies.